

FINAL STRATEGY

PREP & PRESENTATION

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01 CHALLENGE YOUR
OWN RUN

02 TRY TO BREAK IT

03 THE GATE

04 DEFEND IT

06

Your run, challenged by its own blueprint, put to the gate, then defended in ten minutes.

WHO PRICED THEM.

Session 05’s to-do, card for card. Show the file, not the curve.

01

YOUR BOOK, NET

Priced by the engine,
costs on.

FINDINGS_1.md

02

YOUR CONTROL

One ingredient out,
same dates.

Portfolio/

03

**THE HOMEWORK
RUNS**

A one-day shift, up to 3
random books, the
holdout once.

TRIALS.csv

04

YOUR COUNT

Every variant you
ranked.

RESULTS.md

FROM “IT WORKS” TO “WE TRUST IT.”

Challenge the run, try to break it, put it to the gate, then defend it.

1 BIBLIOTHECA Sessions 02–03	2 UNIVERSE Session 03	3 DATA Session 03	4 PORTFOLIO Session 04	5 BACKTEST Session 05	6 ATTRIBUTION Session 05	7 PAPER TRADING The gate · TODAY	8 PRODUCTION Outside the repo
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NOTICE Nothing graduates today. A signature does, after five rows.

CHALLENGE YOUR OWN RUN

the blueprint is fixed · the findings answer to it · the git log keeps the order

THE BLUEPRINT JUDGES THE RUN.

A prediction is something you were willing to be wrong about.

01

**VERDICT VS
FALSIFIER**

Either limb fires:
falsified.

02

THE TALLY

Count the rows yourself.

03

**THE RUN VS THE
PLAN**

Window, universe, costs.
Disclosed, or a finding.

04

THE ORDER

Notes before the
blueprint, the blueprint
before the rule.

git log

LET THE RESEARCHER DISAGREE.

challenge reads your files and reports in chat.

PASTE THIS INTO YOUR ASSISTANT

```
/challenge 1
```

```
Codex: follow ~/.apm/apm_modules/KaxaNuk/KaxaNuk-Researcher/.apm/prompts/challenge.prompt.md for  
experiment 1
```

Behind the line: it reads BLUEPRINT_1.md, FINDINGS_1.md, JOURNAL_1.md, RESULTS.md, OBJECTIVE.md and every cited note, in that order.

01

FIRST, YOUR VERDICTS

Each prediction's row in FINDINGS_1.md,
by you.

02

IT WRITES

One JOURNAL_1.md entry, on your go.
Nothing else.

03

YOU FIX

The findings, from a re-run. Never a reword.

THEN A falsified claim moves in OBJECTIVE.md, through objective.

TRY TO BREAK IT

curves, not cells · the count beside the winner · net, or not at all

A CURVE, NOT A CELL.■

Session 05 priced the sub-periods and the shift. Today, read the shape.

01

SUB-PERIODS

Ahead of the control, on Sharpe and CAGR, in how many of three?

02

THE SHIFT

Entries one day later: does the edge survive?

03

A GRID, LABELLED

A teaching computation, or not assessed.

teaching computation

04

A WIPE COPY

Same figures from a clean clone.

THE TEST A setting that carries the result is a setting, not a strategy.

PUBLISH N.

The best Sharpe of N trials is the largest of N draws.

01

WHAT COUNTS

Every variant ranked,
every feature screened,
K.

02

EXCLUDED, BY NAME

A dropped run keeps its
name and its reason.

RESULTS.md

03

A RESCUE IS A TRIAL

A no-rescue lever
moved after the result: a
new experiment.

04

A DEFLATED SHARPE

From the engine's
Sharpe, AI off, labelled
derived.

dssr.py

THE EXAMPLE 31 · 43 · 54 · 68: liquid-golden-cross's count, published at each experiment.

NET, OR NOT AT ALL. ■

Session 05 priced the costs. Today you state them.

01**TWO ROWS**

The blueprint's commission, and a realistic one.

02**TURNOVER**

Times the book a year, one-way per rebalance.

03**CAPACITY**

The largest book a trade's participation allows.

1% · 5% of 63-day value

04**NOT MODELLED**

Whatever your run left out, said out loud.

CAPACITY NOT MODELLED is not met. Not “probably fine.”

THE GATE

five criteria, all of them · the blocking items are the content

FIVE ROWS. ALL OF THEM.

Each met, not met or not assessed, with its file.

01**BEATS BOTH**

Benchmarks and control, risk-adjusted, same window.

02**IDIOSYNCRATIC,
BOTH LAYERS**

Selection, a residual, the third pass.

03**SURVIVES**

Sub-periods, cost rows, the shift; N published.

04**NET AND SIZED**

Costs and capacity, stated.

05**SIGN-OFF**

A person's name and a date.

THE TRAP A pass on Sharpe alone, while the control earns more a year.

THE ANSWER IS NO.

Its second design, row by row, from its BITACORA .md.
Engine 0.66.0.

1	BEATS BOTH	NOT MET	Sharpe ahead; 0.86 points a year behind its control.
2	IDIOSYNCRATIC, BOTH LAYERS	NOT MET	The control keeps more residual. Third pass not run.
3	SURVIVES	MET	12 of 15 grid cells, its own rule. Count: 31. Not deflated.
4	NET AND SIZED	MET	Two commission rows; capacity as a participation bound.
5	SIGN-OFF	NOT ASSESSED	One and two block it.

FOUR EXPERIMENTS Four noes. Each kill switch fired before the gate did.

PAPER IS NOT A PRIZE.

After the signature, the rule stops moving.

01

PROMOTED, NOT COPIED

Paper_Trading_N
mirrors Experiment_N.

`promote.py N`

02

FROZEN ONCE

Every file hashed, never
refrozen.

`FREEZE.json`

03

REGISTERED FIRST

Bands, kill switch,
review dates, before day
one.

`BITACORA.md`

04

RE-FITS NOTHING

Read for behaviour,
never a good month.

`daily_update.py`

THE EXCEPTION The example tracks Experiment 4 on paper: a candidate, by name, never graduated.

RUN THE GATE ON YOURS.

Five rows: met, not met or not assessed. You write the verdict.

PASTE THIS INTO YOUR ASSISTANT

Using paper-trading-gate, lay out the five criteria for Experiment 1 against FINDINGS_1.md and RESULTS.md: each met, not met or not assessed, with the number quoted and its file. Write nothing.

Behind the line: the skill never declares graduation, never computes a number, and leaves BITACORA.md to you.

01

YOU WRITE

Current status: which rows block, and why.

BITACORA.md

02

THE NUMBERS

Quoted from the findings. A missing one is not assessed.

03

THE VERSION

A first graduation is 1.0.0, from a clean clone.

THEN Write RESULTS.md as kept or rejected. A no is a result.

DEFEND IT

performance without explanation is no conviction · nine rows, none for return

THE CURVE IS NOT THE PITCH.

“Look, it works” convinces nobody who has seen a backtest.

01

MECHANISM

Why the return should exist, in a sentence.

02

ASSUMPTIONS

Lag, costs, universe, exits: on the slide.

03

RISKS

What kills it, and the line you wrote first.

04

DRIVERS

Factor or selection: both layers.

THE LINE If you don't decompose returns, you don't know what you own.

FIVE QUESTIONS. TEN MINUTES.

One question a slide, each answered from a file.

01

WHAT, AND WHY

The claim and its
source of return.

OBJECTIVE.md

02

HOW TESTED

Universe, data, the
analyzer's numbers.

RESULTS.md

03

HOW IT ALLOCATES

Selection, sizing,
timing, control.

BLUEPRINT_1.md

04

DID IT WORK

Net, against index and
control.

FINDINGS_1.md

05

WHY

Both layers, then the
gate.

BITACORA.md

OPEN WITH The project in three sentences, from RESULTS.md.

NINE ROWS. NONE FOR RETURN.

Each row 0, 33, 66 or 100. Equal weight: 11.1% each.

STRATEGY DEFINITION33.3%	FEATURE ENGINEERING33.3%	STRATEGY DESIGN33.3%
HYPOTHESIS & SOURCE OF RETURNS OBJECTIVE.md0 · 33 · 66 · 100	DATA QUALITY & INTEGRITY Universe/0 · 33 · 66 · 100	PORTFOLIO CONSTRUCTION LOGIC BLUEPRINT_1.md0 · 33 · 66 · 100
RESEARCH FOUNDATION Bibliotheca/0 · 33 · 66 · 100	FEATURE DESIGN & RELEVANCE the analyzer0 · 33 · 66 · 100	BACKTESTING & ROBUSTNESS FINDINGS_1.md0 · 33 · 66 · 100
SCIENTIFIC PROCESS git log0 · 33 · 66 · 100	SIGNAL CONSTRUCTION c_* columns0 · 33 · 66 · 100	ATTRIBUTION & UNDERSTANDING both layers0 · 33 · 66 · 100

100 MEANS The evidence is a file a judge can open.

ASK IT BEFORE THEY DO.

Six questions every judge asks. Two minutes each, then swap.

01

WHAT IS YOUR CONTROL?

One ingredient out, same dates.

02

HOW MANY DID YOU TRY?

N, beside the winner.

03

NET OF WHAT?

Commission, slippage, two rows.

04

WHICH FACTOR IS IT?

The residual, after both layers.

05

WHO IS MISSING?

The delisted, kept in the universe.

06

WHAT WOULD KILL IT?

The kill switch, written first.

THE STANDARD Answer with a file, not a feeling.

OUTLINE IT FROM YOUR FILES.

Your deck, drafted in chat. The numbers stay quoted.

PASTE THIS INTO YOUR ASSISTANT

From OBJECTIVE.md, BLUEPRINT_1.md, FINDINGS_1.md, RESULTS.md and Paper_Trading/BITACORA.md, outline a ten-minute presentation in chat: one slide per question, each number quoted with its file. Compute none.

Behind the line: an outline, not a file in the repository. Your slides live outside it.

01

THE NUMBERS

Quoted, with their file. None computed.

02

THE CHARTS

From the engine's report. Never committed.

03

THE NO

A falsified prediction gets its own slide.

THEN Score yourself on the nine rows, before a judge does.

STOP HERE, ON PURPOSE. ■

ON DISK WHEN YOU LEAVE

- A JOURNAL_1.md entry — the challenge, on your go
- The holdout record — the run, opened once
- The deflated Sharpe — AI off, labelled derived
- BITACORA.md — five rows: met, not met or not assessed
- RESULTS.md — kept or rejected, in three sentences
- Your deck and the rehearsal scores
- CLEAN_CLONE.log — the free stages rerun, and a tag

Left: on disk before you leave. Right: not done, on purpose.

NOT TODAY

- Graduation — a signature, after five rows
- A freeze and paper trading — outside the course
- Experiment 2 — BLUEPRINT_2.md, drafted, not run
- Production — outside the repo

WHY WE STOP

A strategy that says no to itself, in writing, is one a judge can trust.

TO DO.

Ten minutes, from a clean clone.

01

YOUR DECK

Five questions, ten minutes.

02

YOUR SCORECARD

Nine rows, scored, each with its file.

03

A CLEAN CLONE

The free stages, rerun once more.

CLEAN_CLONE.log

04

YOUR NEXT BLUEPRINT

One lead, from What is open.

BLUEPRINT_2.md

BRING Your laptop, the repository, and the hash of the commit you present.

BACK TO THE PILLARS.

The coding, markets and math sessions behind today. Go back to one when you could not do its part with the AI off.

CODING · CODING FOUNDATIONS

- CF S01 Terminal, Environment and Git
a clean clone
- ▣ CF S11 House Rules and Code Review
changelog, Semantic Versioning, tags
- ▣ CF S12 Capstone: Ship a Tested Release
CI, a release, a clean clone

MARKETS · FINANCIAL MARKETS

- FM S12 Capstone: Performance, Attribution and Track Records
the five gate criteria
- ▣ FM S08 Efficiency, Anomalies and Decay
decay after publication

MATH · MATHEMATICAL FINANCE

- MF S04 Estimation, Inference and Multiple Comparisons
Sharpe statistics
- ▣ MF S12 Capstone: Overfitting, the Deflated Sharpe and the Holdout
the deflated Sharpe, N, the holdout
- ▣ MF S02 Distributions, Tails and Drawdowns
skewness and kurtosis in the deflated Sharpe
- ▣ MF S03 Simulation, the Bootstrap and the Null
random-draw percentiles
- ▣ MF S07 Time Series and Trend Signals
the timing-shift arm

THE READING LIST.

Six leads, none read yet. Read two; start with Harvey & Liu: a haircut for every Sharpe you present.

THE COUNT · WHY THE BEST OF N LIES

WHITE

2000 A Reality Check for Data Snooping
→ the trial count

BAILEY & LÓPEZ DE PRADO

2014 The Deflated Sharpe Ratio: Correcting for Selection Bias, Backtest Overfitting, and Non-Normality
→ the deflated figure

HARVEY & LIU

2015 Backtesting
→ the haircut

THE PROOF · WHAT A BACKTEST CAN CARRY

LO

2002 The Statistics of Sharpe Ratios

BAILEY, BORWEIN, LÓPEZ DE PRADO & ZHU

2014 Pseudo-Mathematics and Financial Charlatanism

BAILEY, BORWEIN, LÓPEZ DE PRADO & ZHU

2017 The Probability of Backtest Overfitting

ALSO READ McLean & Pontiff (2016), on decay after publication; the paper-trading-gate skill and BITACORA.md.

NOW DEFEND IT.

The gate says what blocks it. The pitch says why.

THE GATE

BITACORA.md

The blocking rows, in writing.

THE PITCH

Five questions · nine rows

Every number with its file.

BRING

A clean clone and a commit hash.

QUESTIONS research@kaxanuk.mx

NEXT

**PRESENTATION
DAY**

TOPIC

**YOUR STRATEGY,
DEFENDED**

YOU LEAVE WITH

**A SCORE ON NINE
ROWS, AND YOUR NEXT
BLUEPRINT.**

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